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Ciclo: 26-3
Materia: Inglés XI
Licenciatura: Interpretación y Traducción

HW_07. Herman Daly and Free Trade
(Convert to 10 pt scale)

Criteria	3 - Excellent	2 - Satisfactory	1 - Needs Improvement
Task 1: Understanding Criticisms of Free Trade	Answers to the first 11 questions (split into a. and b. sets) regarding Daly's article are comprehensive, demonstrate deep understanding of economic concepts and critiques, and are supported by specific evidence from the text; clear and insightful explanations.	Answers show a basic understanding of Daly's criticisms with some relevant examples but lack depth or specificity; explanations are mostly clear with occasional ambiguity.	Answers are incomplete, show misunderstanding or superficial knowledge of Daly's arguments, lack textual support, or are unclear and poorly explained.
Document Formatting and Presentation	Document is perfectly formatted according to Marron Style Guide .	Minor formatting errors present but overall follows Marron Style Guide.	Formatting does not follow the Marron Style Guide or is inconsistent throughout.

Assignment:

****HW_07 [Due: 07 Jul 2026]**

--- Task 1

While David Ricardo is credited with the concept of free trade, as espoused through his ideas of comparative advantage, it was Milton Friedman who extended and polished the concept. Friedman and the Chicago School of Economics have championed the current neoliberal policies of unilateral free trade. Herman Daly vehemently opposes unilateral free trade. Daly defines his criticisms in, "The Perils of Free Trade" published in Scientific American in 1993 (06_Daly_Perils-of-Free-Trade.pdf). Answer the questions below based on Daly's paper. You do need to write the question.

1. Daly notes that, at the time of writing the article, most if not all economists endorsed the idea of free trade; that is, free trade being a presumed good unless proven otherwise. Briefly, what is meant by the term, free trade? What is Daly's name for free trade?
2. How did Keynes see the relationship between national and international production?
3. What is the general economic argument used to promote free trade? From Daly's perspective what is the main flaw in this argument?
4. Daly calls free traders to task for aggrandizing mathematical theories over ground-truthing. What does he mean by this?
5. What is the modern reality of capital that undermines and invalidates a fundamental premise of Ricardo's theory of comparative advantage?

6. Daly notes that "for trade to be mutually beneficial, the gains must not be offset by higher liabilities." What are two obvious liabilities pointed out by Daly?

7. Why can the specialization required of free trade reduce a nation's range of occupational choices?

8. Again Daly calls free traders to task but this time for fundamental negligence. He notes that "the arguments for free trade run afoul of the three basic goals of all economic policies: the efficient allocation of resources, the fair distribution of resources and the maintenance of a sustainable scale of resource use." Explain how free trade violates each one of these three basic economic goals.

9. Free trade seems to fly under the banner, "Privatize the profits and externalize the costs." What does this slogan mean?

10. How can tariffs be used positively?

11. Do you think a binding, international legal system would help or hurt international trade?

--- Task 2 (counts as separate HW grade) DUE 14 July 2026

Write a ~three-page critique of "Charlotte's Web." Use the Chesapeake College guide to help organize your thinking and present your critique in the format given in [Marron_English-IX-StyleGuide.pdf](#). Please note that the questions and statements under each section in the Style Guide are for guidance only. Do not include these questions or statements in your critique. IMPORTANT: Because of the changes in our schedule resulting from FIFA, you may work in teams of up to three people for this task. Be sure to list contributors in the document header.

Study Guide for Exam 2P [DO NOT turn in as homework]

T1 The axioms and corollaries of standard economics

1. According to economics, what is scarce?
2. Do you agree with economics' axiom of scarcity?
3. Briefly explain why opportunity cost results from choice.

T2 The modern World Order

1. Briefly explain what were the intentions of the US and European Allies for creating the World Order after WWII.
2. Briefly explain what events and pressures have contributed, and are currently contributing, to the collapse of the World Order
3. Briefly state your perspective on the state of the current and the future world order.

T3 Amartya Sen's thoughts on freedoms, unfreedoms, and development

1. Sen notes that "unfreedoms" rob individuals of agency and therefore contribute to miseries of one kind or another. List three (3) broad categories of unfreedoms and in each case briefly explain why agency is diminished.
2. List three (3) distinct types of freedoms that are fundamental for development. and briefly explain why these freedoms are synergistic.
3. Sen argues that development must have a broader definition than simply economic enhancement. What is Sen's definition of development?

T4 Herman Daly's, "The Perils of Free Trade"

1. Briefly, what is meant by the term, free trade?
2. What is the modern reality of capital that undermines and invalidates a fundamental premise of Ricardo's theory of comparative advantage?
3. Free trade seems to fly under the banner, "Privatize the profits and externalize the costs." What does this slogan mean?
4. Who are the real beneficiaries of free trade? Why?

5. Neoliberal economists have neglected the reality of the relationship between the economy and the biosphere. How is a steady-state economy analogous to an organism and why is a steady-state economy absolutely required for sustainability?
6. Do you think a binding, international legal system that requires corporate full cost accounting would fix the problems created by free trade?